

HOUSE No. 2065

The Commonwealth of Massachusetts

PRESENTED BY:

Shirley B. Arriaga

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to a four-day work week pilot program.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Shirley B. Arriaga</i>	<i>8th Hampden</i>	<i>1/17/2025</i>

HOUSE No. 2065

By Representative Arriaga of Chicopee, a petition (accompanied by bill, House, No. 2065) of Shirley B. Arriaga that the Executive Office of Labor and Workforce Development be authorized to establish a four-day work week pilot program. Labor and Workforce Development.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to a four-day work week pilot program.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. (a) Notwithstanding any general or special law to the contrary, the
2 executive office of labor and workforce development shall establish a pilot program to promote,
3 incentivize and support the use of a four-day work week by qualifying employers and to study
4 the benefits and impacts of such work arrangements on participating employees and employers.
5 This program shall be known as the Massachusetts Smart Work Week Pilot.

6 (b) For the purposes of this act, the following terms shall have the following meanings,
7 unless the context clearly requires otherwise:-

8 “Four-day work week”, employees receive a meaningful reduction in actual work hours
9 without any reduction in overall pay.

10 “Pilot”, the Massachusetts Smart Work Week Pilot Program, as established in this act.

“Qualifying employer”, an employer operating in the commonwealth that enters an agreement to participate in the Massachusetts Smart Work Week Pilot Program subject to this act.

(c) Within one year of enactment, the executive office shall begin accepting applications from employers to participate in the pilot. The executive office shall publicize and promote such an application throughout the commonwealth and online to make application to the pilot accessible to all employers in the commonwealth. In addition to any other information required by the executive office, such applications by qualifying employers must include a detailed proposal to establish and implement a four-day work week for the qualifying employer’s workforce or a division of the qualifying employer’s workforce. The proposal must apply to no fewer than 15 employees employed by said qualifying employer.

(d) Based on the information provided in the application subject to subsection (c) of this section, the executive office shall select qualifying employers from the applicant pool to participate in the pilot. The executive office shall make every effort to select qualifying employers of diverse size, occupation, industry sector and geographical location to participate in the pilot, including participation of veteran-, women- and minority-owned businesses and businesses owned by persons with disabilities. Employers in the public sector may participate in the pilot but shall not be eligible for tax credits under Section 2 of this act.

(e) Upon selection to participate in the pilot, qualifying employers must enter into an agreement with the executive office providing that:

(i) the qualifying employer shall develop and implement a plan to transition its designated employees to a four-day work week;

(ii) an employee transitioning to a four-day work week under a qualifying employer will not receive a reduction in overall pay, status, or benefits; and

(iii) the executive office shall study and evaluate the impact of transitioning to a four-day work week through gathering employee and qualifying employer data, including, but not limited to, employee surveys, interviews, economic data, and other information.

(f) Qualifying employers shall inform their employees of said employer's participation in the pilot and shall allow their employees to opt out of participation in the pilot. Employees who choose to participate in the pilot shall also be permitted to opt out of employee interviews, surveys, and any other information gathering methods. Qualifying employers shall notify their participating employees that collection of employee data for the purposes of this pilot shall be anonymized.

(g) The executive office shall research and collect data on an ongoing basis during the administration of the pilot. This shall include, but not be limited to: employee surveys to be conducted at the start, mid-point, and end of the pilot; employee interviews at the start and end of the pilot; participating employer, or designee, interviews at the start and end of the pilot and no later than December 31 of each year for the duration of the pilot; economic and administrative data from participating employers on a monthly basis.

(h) The pilot shall have a total duration of no less than two years. Annually, not later than December 31 for the duration of the pilot, the executive office shall publish a report on the progress of this pilot on its website and submit said report to the clerks of the house and senate, the joint committee on ways and means, the joint committee on labor and workforce development, and the joint committee on economic development and emerging technologies.

55 Upon completion of the pilot, the executive office shall publish a final report online and submit
56 said report to the clerks of the house and senate, the joint committee on ways and means, the
57 joint committee on labor and workforce development, and the joint committee on economic
58 development and emerging technologies. The final report shall include, but not be limited to: the
59 total number of qualifying employers participating in the pilot; the size, occupation, industry
60 sector and geographical location of qualifying employers participating in the pilot; demographic
61 information of participating employees, including, but not limited to, age, gender and race; the
62 economic and social impact of a four-day work week on the qualifying employers participating
63 in the pilot; the impact of a four-day work week on the well-being and work life of participating
64 employees; any findings or recommendations based on the research conducted on four-day work
65 weeks.

66 SECTION 2. (a) Notwithstanding any general or special law to the contrary, a qualifying
67 employer shall be allowed a credit against the tax liability imposed by chapter 62 of the general
68 laws or the excise due under chapter 63 of the general laws, as it applies, for participation in the
69 Massachusetts Smart Work Week Pilot Program; provided, however, that an employer in the
70 public sector shall not be eligible for the credit. This credit shall terminate at the end of the
71 taxable year in which the conclusion of said pilot occurs.

72 (b) The secretary of labor and workforce development, in consultation with the
73 department of revenue, shall promulgate regulations establishing criteria and procedure for: (i)
74 an application process for the credit; and (ii) determining the amount of credit issued under this
75 section.

76 (c) To be eligible for a credit under this section, a qualifying employer shall have:

(i) participated in the pilot for no less than one year; and

(ii) submitted a report to the executive office detailing its transition to a four-day work week, including data collection as described in subsection (g) of section 1 of this act.

(d) Prior to the issuance of any credit, the executive office shall confirm that the qualifying employer has maintained compliance with its proposal subject to subsection (c) of section 1 of this act.

(e) The executive office may determine the amount to be credited to a qualifying employer through one or a combination of the following:

(i) a fixed dollar amount for each qualifying employer;

(ii) a fixed dollar amount for each employee of the qualifying employer participating in the pilot;

(iii) a percentage of the wages paid to each employee of the qualifying employer participating in the pilot; or

(iv) a dollar amount that assists in offsetting a qualifying employer's costs to hire new employees due to the qualifying employer's participation in the program.

(f) The department of revenue, in consultation with the secretary of labor and workforce development, shall annually, no later than March 1, file a report on the tax credit for its duration. The report shall include, but not be limited to, the following: (i) total amount of tax credits claimed pursuant to this subsection and (ii) the number of applications received and the number of participating employers.